

101 Session on Global Macro Strategies with Wellington Management

Endowus
Webinars

WELLINGTON
MANAGEMENT®

**BEYOND STOCKS AND BONDS:
101 Session on Global
Macro Strategies with
Wellington Management**

Wednesday, 24 May | 7PM HKT/SGT

**Min Axthelm**
Director of
Investment Research
Endowus

**Christopher S. Perret**
Managing Director and
Investment Director
Wellington Management


Min Axthelm (...)





Introduction to Wellington Management
A trusted adviser and strategic partner to clients worldwide


Christopher P...

BUSINESS

USD **1,150B**
Of client assets
under management

 **63**
Countries in which
clients are based

 **2,488**
Clients

USD **31B**
Of UCITS fund assets
under management

PEOPLE

 **1,047**
Investment
professionals

16 years
Of experience, on average

204
Partners all active
at the firm

HERITAGE KEY DATES

1928
Wellington Fund
first US balanced fund

1979
Establishment
of private partnership

1980s onwards
Steady expansion
of global presence

1992
First thematic
strategy launched

1994
First long/short
strategy launched

1998
First UCITS
fund launched

2014
First dedicated
private equity
strategy

2015
Global Impact:
Our first diversified
impact investing strategy
in public equities



As of 31 December 2022

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Global Macro Investing – what is it?

What is global macro investing?

DEFINITION

Global Macro Investing



Broad macroeconomic trends and events that affect economies and financial markets worldwide



Wide range of factors including interest rates, inflation, FX, geopolitical events, fiscal policies, etc



Involving *macroeconomic analysis* & *top-down approach*

KEY CHARACTERISTICS

Global Macro Investing

Diversification	Risk Management	Investment Instruments
Across asset classes	Hedging strategies, Position sizing, Stop-loss orders	Utilising various financial instruments
Involve significant challenges		

INTRO



Min Axthelm (...)

What is global macro investing?

GEORGE SOROS ONCE SAID...

Quote about Global Macro Investing



The **worse** a situation becomes, the **less it takes** to turn it around, the **bigger the upside**.

Markets are constantly in a state of uncertainty and flux, and money is made by discounting the obvious and betting on the unexpected.



OTHER EXAMPLES

Well-known cases of Global Macro Investing



Paul Tudor Jones during the 1987 Stock Market Crash

IMDb: Trader (TV Movie 1987) - IMDb

John Paulson during the Subprime Mortgage Crisis (2007-08)

Michael Burry during the US Housing Bubble (2005-08)

Kyle Bass during the Greek Sovereign Debt Crisis

Ray Dalio during the European Debt Crisis (2011-12)



Source: Endowus Research, Niccolo Caranti, IMDb (Trader, 1987), Paramount Pictures (The Big Short, 2015)

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What is macro investing?
Let's ask ChatGPT...



Question: What is a global macro fund?



A global macro fund is a type of investment approach that invests in a diverse range of financial assets, including stocks, bonds, currencies, and commodities, based on macroeconomic analysis of global market trends. These funds typically take a top-down approach to investment, using economic and geopolitical trends to identify opportunities to profit...

ChatGPT

Source: chatgptonline.ai | The views expressed herein are those of the authors at the time of writing. Views are based on available information and are subject to change without notice. Information contained within the section contains estimates and forecasts. Actual results may vary significantly. Individual portfolio management teams may hold different views. This is not to be construed as investment advice or a recommendation to buy or sell any specific products. While any third-party data used is considered reliable, its accuracy is not guaranteed.

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What is macro investing? Opportunity set



Fixed income



Foreign
exchange



Equities



Commodities

← Most prevalent

Least prevalent →

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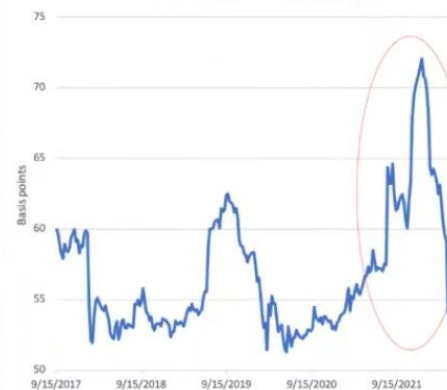
What is macro investing? Types of strategies



Directional
Short US 2y2y rates

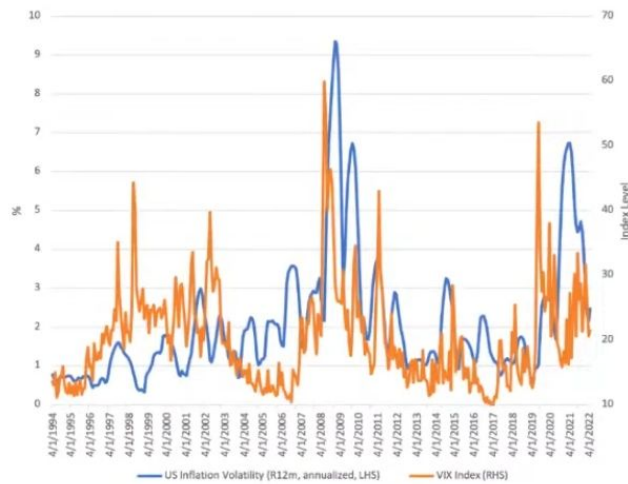


Non-directional
Austria 30s/100s curve flattener



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Why invest in global macro strategies?

GLOBAL MACRO STRATEGIES BRING DIVERSIFICATION & ALPHA POTENTIALS

Strengths of Global Macro Investing



Diversification



Capitalise on broad macro trends, especially if you have strong views.



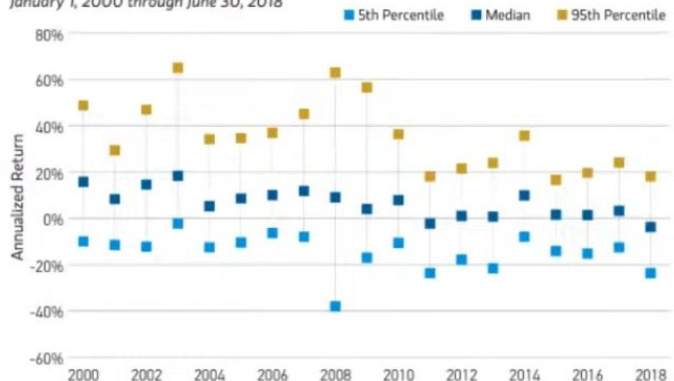
Potential for alpha generation & returns across different market conditions.



Wide variety of strategies to suit your purpose.

Global Macro Universe Is Heterogenous

Annual Returns of Macro Funds in HFR Database January 1, 2000 through June 30, 2018



Source: Endowus Research, Morgan Stanley Investment Management, Hedge Fund Research Inc

Why invest in global macro strategies?

ADVA

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 α Potential
alpha generationDiversification from
traditional assets

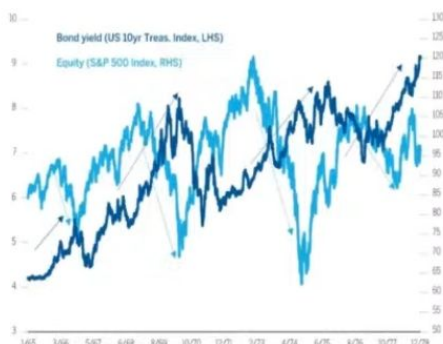
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Why invest in global macro strategies?
The importance of diversification

ADVA

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A look back at a challenging time in history



Source: Bloomberg Finance, L.P., Wellington Management. | The above charts are for illustrative purposes only and do not represent trade recommendations or advice of the manager. | Past results are not necessarily indicative of future results.

2022 was a difficult year for traditional assets

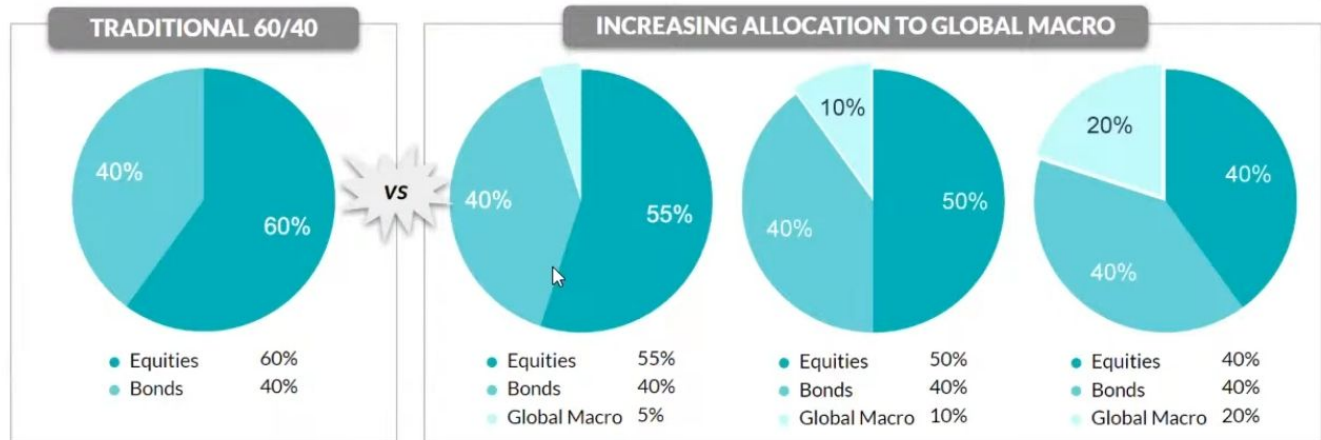


Allocating to Global Macro – how does that benefit my portfolio?



CASE STUDY: TRADITIONAL 60/40 vs PORTFOLIOS WITH GLOBAL MACRO ALLOCATION

Comparing the impact of adding Global Macro into your portfolio



Note: Illustrative examples only, have not taken account of any individual's circumstances. This is not intended to be an invitation or offer made to the public to subscribe for any financial product or to enter into any transaction.

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(1) Better controlled drawdowns



Note: Using MSCI ACWI for equities, Bloomberg Global Aggregate for fixed income, and HFRI for global macro. Illustrative examples only, have not taken account of any individual's circumstances. This is not intended to be an invitation or offer made to the public to subscribe for any financial product or to enter into any transaction. Source: Endowus Research, Morningstar.

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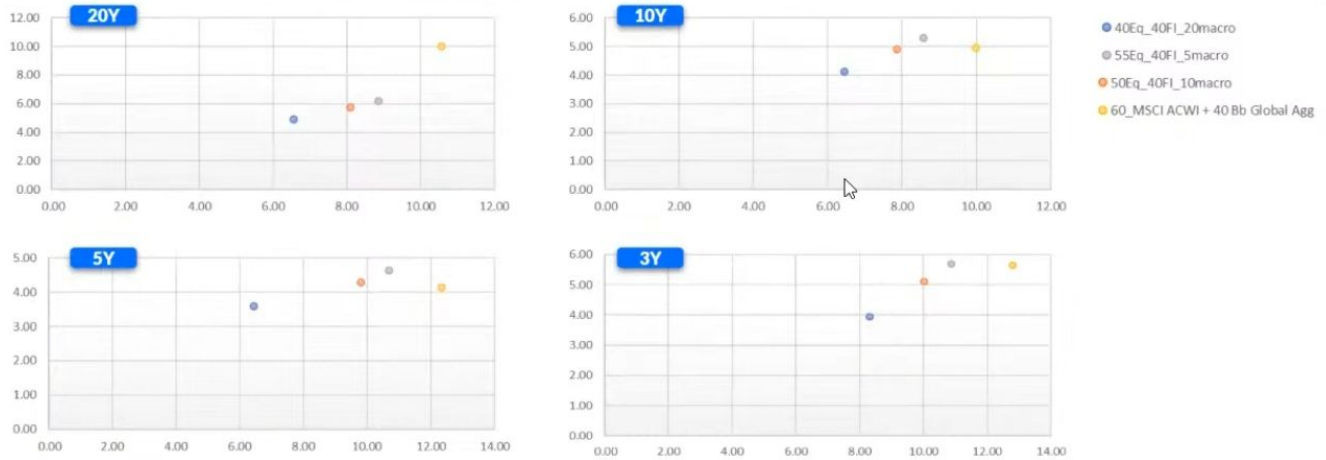
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(2) Potential for improved risk/return profile over different periods



RISK/RETURN METRICS OVER 20Y, 10Y, 5Y, 3Y PERIODS

Traditional 60/40 vs Varying levels of Global Macro allocation



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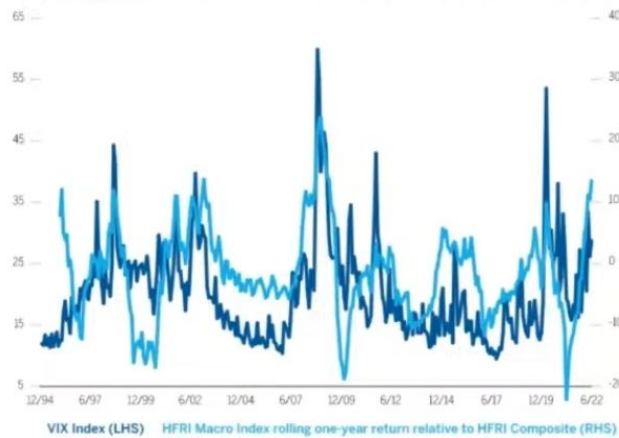
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What is the ideal environment for global macro strategies? Elevated volatility



Macro strategies have historically performed well in elevated volatility environments



Sources: JPMorgan, HFR, Bloomberg, Wellington Management | HFRI macro relative return to HFRI composite is calculated as rolling one-year return of the HFRI macro index minus the rolling one-year return of the HFRI fund weighted composite | Past results are not necessarily indicative of future results | Chart data: December 1995 – June 2022

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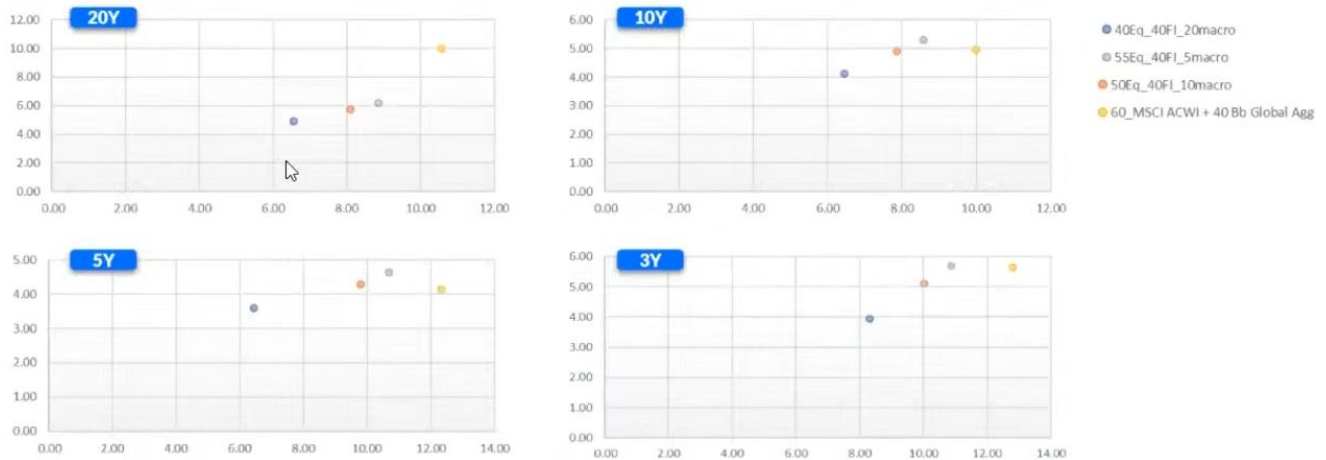
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(2) Potential for improved risk/return profile over different periods

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RISK/RETURN METRICS OVER 20Y, 10Y, 5Y, 3Y PERIODS

Traditional 60/40 vs Varying levels of Global Macro allocation



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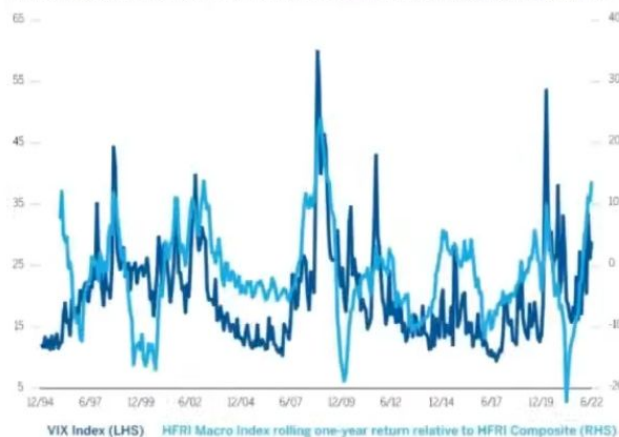
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What is the ideal environment for global macro strategies? Elevated volatility

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Macro strategies have historically performed well in elevated volatility environments



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Key risks to consider when investing in a global macro strategy

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1. Concentration

2. Leverage

3. Illiquidity

4. Regime shifts

5. Past performance does not equal future results

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Why Macro?

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“

These are spectacular times for macro! And great times for macro are typically not good times for general investment - owning stocks, owning bonds. Macro works when everything is broken that's when you have the most volatility and it's the best for the type of trading that I do.

Paul Tudor Jones
CNBC Interview, 10 October 2022

Source: CNBC